

respectively, on a constant currency basis, while HCL Technologies and Wipro reported declines of 0.5% and 1.2%, respectively. For Tech Mahindra, this figure stood at 2.6%, while year-on-year revenue growth stood at 6.6%, nearly double that of TCS, which came closest with 3.2% annual growth. While this growth may have come off a low comparative baseline, it still sent a clear signal to the market that the company is on course to meet its targets.

“There was a great deal of scepticism about the plan, but if we fast forward to now, in the most recent quarter we are growing twice as fast as our peers,” says Joshi. “Employee satisfaction is also at a six-year high while customer satisfaction has gone from being slightly below the industry median to now being the highest in the industry (as per third-party data).”

As of August 17, the market capitalisation was about \$16.7 billion, compared with \$14.7 billion at the end of FY24. “It has been a successful transition but it’s not complete; we still have to deliver it by March, but it’s on track so far,” he says.

THE AI DILEMMA

The challenges, though, are hard to overlook. The \$315-billion Indian IT industry is staring down one of its most testing phases. While the adoption of generative AI is driving productivity and efficiency improvements, there are concerns that this could also lead to smaller deal sizes and durations, and reduced revenues. Several CEOs have acknowledged this, saying that greater AI adoption is resulting in decreased deal volumes. At the same time, clients are shifting budgets from transformation projects to AI deals, which means that even if AI revenue rises, it may not necessarily translate into new or increased revenue. To be clear, TechM does not disclose separate AI revenue.

Analysts point out that this impact is starting to show through higher pricing pressure and lower software development spends. This, coupled with geopolitical uncertainty, has impacted the performance of most tech companies in recent months, with the overall outlook for the rest of the year also remaining muted.

While Tech Mahindra has reported 11 quarters of revenue and margin growth, the external environment could play spoilsport. “Most service providers are seeing cautious optimism rather than a full demand recovery. That means the company’s ability to meet its growth and margin ambitions will depend not only on internal execution but also on whether clients accelerate large transformation programmes and move beyond experimentation into scaled AI and modernisation investments,” says Mahapatra.



“The results of the first quarter of this fiscal reflect the turnaround and stabilisation achieved through the investments we made to fuel the right kind of growth and build an operational mindset”

ATUL SONEJA
CHIEF OPERATING
OFFICER, TECH MAHINDRA



“The next phase will require sustained execution because Tech Mahindra will need to sustain growth while protecting the margin gains it has created”

JIMIT ARORA
CEO, EVEREST GROUP

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GROWING, THE ORGANIC WAY

The leadership remains confident that the work done over the last two years has given it a strong foundation to continue growing. Rohit Anand, chief financial officer, Tech Mahindra, agrees that the market has become a lot more difficult since the company first laid out its transformation strategy. Over the last three quarters, the company posted new deal wins of over \$1 billion. “The last quarter was heartening because we didn’t have any mega deal but still got to a billion dollars, which shows it was more distributed and spread across verticals,” he says.

One fundamental change brought about in the last two years was the shift in focus to organic growth rather than acquisitions. Starting with its acquisition of the beleaguered Satyam Computer Systems in 2009, mergers and acquisitions have been an integral part of the company’s growth strategy. “When you cut that down, there’s a cultural shift where people start looking at numbers in a more disciplined manner and focusing on account mining and growing the top accounts,” says Anand.

All the growth reported since the start of FY25 is or-